LEGAL ADVICE — PRIVILEGED AND CONFIDENTIAL

Advice note: settlement strategy and litigation risk

To: Miriam Cole (CFO & Company Secretary), Charles Aldous (CEO) — Kingsford Group Limited

From: Sarah Whitfield, Partner, Whitfield Carter LLP

Date: 8 January 2026 | Matter: WC-00198

1. Purpose

This note advises the Company on (a) the strength of Mr Whitford's potential claims; (b) the Company's exposure if the matter proceeds to the Employment Tribunal; and (c) the commercial case for settlement at or around the figures now under discussion. It is privileged and should be kept within the board and the advisory team.

2. The potential claims

Mr Whitford's strongest threatened claims are: (i) constructive unfair dismissal, on the basis that the removal of his responsibilities and his exclusion from the offsite were a fundamental breach of the implied term of trust and confidence; and (ii) detriment and automatically unfair dismissal for having made a protected disclosure under sections 43A–47B and 103A of the Employment Rights Act 1996, arising from his July 2025 concerns about revenue recognition at Brampton Leisure.

3. Assessment of risk

On the constructive dismissal claim, the position is finely balanced. The reorganisation gives the Company a legitimate, role-related explanation for the changes; but the poor communication and the failure to consult, which we have already conceded in part in the grievance outcome, would assist Mr Whitford. We assess his prospects on constructive dismissal at around 45–55%.

The protected disclosure dimension is the more serious exposure. If Mr Whitford can show that his disclosure was a material influence on the detriment, or the principal reason for any dismissal, then (a) the unfair dismissal cap does not apply, so compensation is uncapped, and (b) injury to feelings is recoverable. While we consider the causal link weak on the present evidence, the reputational and financial tail risk is significant, particularly given the subject-matter (revenue recognition) and the audit sensitivities.

4. Quantum if the claims succeed

Mr Whitford's gross annual salary is £245,000 with a target bonus of 40% and a 12-month notice period. On an uncapped protected disclosure basis, a tribunal award (loss of earnings to a realistic re-employment date, lost bonus, pension and injury to feelings) could plausibly reach £450,000–£650,000 in a bad outcome, before considering the irrecoverable costs and management time of a contested multi-day hearing and the risk of public findings about the Company's financial reporting.

5. The settlement case

Against that risk profile, settlement at an all-in ex gratia figure in the region of £175,000–£190,000 (in addition to the contractual PILON, which is payable in any event) represents good value and removes the uncountable downside of the protected disclosure claim and the disclosure exercise that would accompany it. We recommend the Company authorise settlement up to an ex gratia ceiling of £190,000, together with the usual ancillary terms (agreed reference, mutual confidentiality, contribution to legal fees).

6. Recommended terms to authorise

- Termination by agreement with effect from 31 January 2026.

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- PILON in respect of the 12-month notice period, paid through payroll.
- Ex gratia compensation up to a ceiling of £190,000 (first £30,000 tax-free).
- Mutual confidentiality and non-derogatory undertakings; agreed reference.
- Legal fees contribution up to £750 plus VAT.

We will revert with a draft board resolution for the authority sought above.

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